

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST,

COMPLAINANT,

v.

APS EAST COAST, INC.,
RESPONDENT.

COMPLAINANTS' PROPOSED FINDINGS OF FACT

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I. THE PARTIES

A. Complainants Ports America Chesapeake, LLC and Marine Terminals Corporation-East

1. Complainant Ports America Chesapeake, LLC (“PAC”) is a limited liability company organized under the laws of the state of Delaware and is authorized to do business in Maryland, with its principal place of business in Maryland at the Port of Baltimore, with an address at 2400 Broening Highway, Suite 105, Baltimore, Maryland 21224. CX_00001-02, Complaint ¶ 1.

2. Complainant Marine Terminals Corporation-East (“MTCE”) is a corporation organized under the laws of the state of California and authorized to do business in Maryland, with its principal place of business in Maryland at the Port of Baltimore, with an address at 2700 Broening Highway, Suite 230B, Baltimore, Maryland 21222. CX_00002, Complaint ¶ 2.

3. Both PAC and MTCE (together, “Ports America”) provide auto and RO/RO stevedoring services in the Port of Baltimore. CX_00002, Complaint ¶ 3.

B. Respondent APS EAST COAST, INC.

4. Respondent APS East Coast, Inc. is an entity organized under the laws of the state of Delaware, registered to do business in the state of Maryland, having its principal office at 10060 Skinner Lake Drive, Suite 205, Jacksonville, FL 32246, and generally doing business as AMPORTS (“AMPORTS”). CX_00002, Complaint ¶ 4; CX_00027, Answer ¶ 4.

5. AMPORTS is in the auto processing business, and describes itself as “one of the largest auto processors in North America” with a “global vision [] to be the premier Automotive Services Company & Port Terminal Operator...” CX_00002, Complaint ¶ 5; CX_00027, Answer ¶ 5.

6. AMPORTS website states that in the U.S. it operates “seven US port facilities, located in Jacksonville (FL), Freeport (TX), Antioch (CA), Benicia (CA), and three facilities in Baltimore (MD). AMPORTS Global Headquarters is located in Jacksonville, FL, with a Corporate Branch Office at our Atlantic port facility in Baltimore, (MD).” CX_00002, Complaint ¶ 6; CX_00027, Answer ¶ 6.

7. AMPORTS is a Marine Terminal Operator (“MTO”), as that term is defined in the Shipping Act, 46 U.S.C. § 40102(15), subject to regulation by the Federal Maritime Commission (“FMC” or “Commission”). CX_00002, Complaint ¶ 7; CX_00027, Answer ¶ 7.

8. AMPORTS is registered with the FMC as an MTO under Organization No. 019071. CX_00002, Complaint ¶ 7; CX_00027, Answer ¶ 7.

9. AMPORTS has published a schedule of its rates, regulations, and practices to the public, applicable to AMPORTS’ Atlantic Terminal and AMPORTS’ Chesapeake Terminal, in Baltimore, Maryland, titled “APS ATLANTIC & CHESAPEAKE TERMINAL TARIFF NO. 2, 019071-002” (the “AMPORTS Schedule”). CX_00003, Complaint ¶ 8; CX_00027, Answer ¶ 8.

II. RO/RO AND AUTOMOBILE CARGO OPERATIONS AT THE PORT OF BALTIMORE RO/RO

10. The Port of Baltimore is one of the nation’s leading ports for handling automobiles, light trucks, and other RO/RO cargoes, and except for declines during the COVID-19 pandemic, the Port of Baltimore reported that in 2023 the private and public terminals handled 847,158 autos and light trucks, the most of any U.S. port for the thirteenth straight year. Governor Moore Announces New Port of Baltimore Cargo Records, 2/23/2024 (<https://governor.maryland.gov/news/press/pages/governor-moore-announces-new-port-of-baltimore-cargo-records.aspx#:~:text=1.1%20million%20Twenty%2Dfoot%20Equivalent,port%20for%2013%20cons ecutive%20years>).

11. International transportation of newly manufactured cars has certain unique transportation elements, including that the cargo (the cars) are generally loaded and unloaded under their own power (i.e. stevedores drive the cars on and off the vessels), and instead of delivery to an ultimate consignee or a notify party at a port, or contracting with the ocean carrier to ship the cars to their ultimate inland destinations, car shippers (the auto manufacturers) generally ship cars to or from “auto processors” located in ports that perform a combination of functions in connection with receiving

and preparing the cars for further transportation and delivery. CX_00811-12, CX_00782-84, Molyneaux Dep. Tr. 58:25-59:8; 29:13-31:23.

12. The contracting arrangements for newly manufactured cars among auto manufacturers/shippers, ocean carriers, stevedores, and auto processors would typically involve the following general arrangement: (1) auto manufacturer contracts with an auto processor to provide auto processing services in a particular region, port, or facility, which are generally long-term, multi-year contracts; (2) auto manufacturer contracts for ocean shipping of its cars to or from the United States location(s) for deliveries in connection with its auto processing contracts; (3) ocean shipping companies contract for various services required for loading, transportation and discharge of the cars, such as stevedoring services to load and unload the cars between the vessel and the auto processor. CX_00785-87, Molyneaux Dep. Tr. 32:24-34:6.

A. Ports America Auto Stevedoring in Baltimore, MD

13. Ports America provides auto and RO/RO stevedoring services to ocean going ro/ro vessels loading and discharging in the Port of Baltimore. CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23. Ports America contracts directly with international ro/ro ocean carriers to stevedore vessels under long-term contracts (some with durations over twenty-five years, and contracts currently with more than ten years remaining), as well as short-term or single voyage contracts (but which in many cases involve long-standing commercial relationships going back many years). CX_01069-70, Schmidt Dep. Tr. 30:15-31:2; CX_00925-26, Beall Dep. Tr. 31:16-32:10.

B. AMPORTS Auto Processing in Baltimore, MD

14. AMPORTS operates facilities in Baltimore, MD used for auto processing services, which includes terminals and vessel berths where auto and RO/RO vessels dock and load and unload cars processed by AMPORTS, including the two terminals that are the subject of the AMPORTS Schedule: AMPORTS' Atlantic Terminal, located at 2901 Childs Street, Baltimore, MD, and

AMPORTS' Chesapeake Terminal, located at 2000 Chesapeake Avenue, Baltimore, Maryland (hereinafter the "AMPORTS Terminals"). CX_01517, Molyneaux Dep. Ex. 3.

15. AMPORTS advertises the AMPORTS Terminal facilities as a "Privately Owned Port" with "4x berths available (2x Owned, 2x MPA)", with "238 acres of yard space. Dynamic capacity for approx. 700,000 cars" with "53,000 sq ft / 23.500 sqm of fully equipped processing buildings." CX_01517, Molyneaux Dep. Ex. 3 at 1.

16. In 2021, AMPORTS advertised that its "OEM customers" (referring to its automobile manufacturing customers) included "Mazda, Stellantis, GM, Honda, Ram." CX_01517, Molyneaux Dep. Ex. 3 at 1.

17. Auto processing services provided by AMPORTS in connection with the AMPORTS Terminals primarily involve logistical services in connection with receiving and preparing autos for further transportation, in the case of U.S. manufactured cars for export, land-side receiving and preparation for onward transportation on ocean carriers, and in the case of foreign manufactured cars imported into the United States, receiving cars from ocean carriers and preparing the cars for land-side transportation to inland locations, such as car dealerships. CX_00782-84, Molyneaux Dep. Tr. 29:20-31:1.

C. RO/RO Stevedoring in Baltimore, MD

18. The ocean transportation of cars processed by AMPORTS at the AMPORTS terminals is arranged between the auto manufacturer and the ocean carrier, not by or between AMPORTS. CX_00786, Molyneaux Dep. Tr. 33:17-21.

19. The stevedoring of the cars processed by AMPORTS at the AMPORTS terminals is arranged between the ocean carrier and the stevedore, such as Ports America, not by or between AMPORTS. CX_00786-87, Molyneaux Dep. Tr. 33:22:-34:6.

20. AMPORTS does not provide any services to stevedores. CX_00847-48, Molyneaux Dep. Tr. 94:24-95:5.

21. There is no cost to provide stevedores access to the terminal and no difference in providing access to preferred stevedores and non-preferred stevedores. CX_00848, Molyneaux Dep. Tr. 95:6-16; CX_00277, AMPORTS 143(b)(6) Dep. Tr. 240:2-18.

22. Stevedores are not providing services to AMPORTS. CX_00848, Molyneaux Dep. Tr. 95:2-5.

23. AMPORTS does not perform, nor does it hire or contract for, stevedoring services in Baltimore. CX_00104, AMPORTS 143(b)(6) Dep. Tr. 67:1-3; CX_00793, Molyneaux Dep. Tr. 41:6-12.

24. AMPORTS does not provide any stevedoring equipment or specialized infrastructure that stevedores use to perform stevedoring on AMPORTS terminals in Baltimore (e.g., such as cranes or cargo moving vehicles). CX_00811-12, Molyneaux Dep. Tr. 58:13-59:25.

25. Complainants and AMPORTS are not party to any bilateral contracts for stevedoring services. CX_00706, Taylor Dep. Tr. 171:1-10.

26. Carriers calling at AMPORTS' terminals in Baltimore hire their own stevedores to load and discharge automobile cargo. CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23

III. AMPORTS "Preferred Stevedoring" Arrangement

A. AMPORTS RFQ for A Preferred Stevedore

27. In fall 2021, AMPORTS executives were evaluating opportunities to generate additional revenue for the company. CX_01282, AMPORTS 143(b)(6) Dep. Ex. 3.

28. AMPORTS identified a “top priority strategic initiative” with a projected [REDACTED] EBITDA by focusing on “ancillary businesses” in connection with stevedoring at owned terminals. CX_01285, AMPORTS 143(b)(6) Dep. Ex. 4.

29. AMPORTS’ comments for the strategic initiative stated that “We will also inquire with stevedoring companies that currently operate on our facilities if a joint venture is in order, i.e. Red Hook, Ceres, Ports America, etc.” CX_01285, AMPORTS 143(b)(6) Dep. Ex. 4; CX_00119-20, AMPORTS 143(b)(6) Dep. Tr. 82:19-83:4.

30. Jake Brown, AMPORTS CFO, and Ben Buben, AMPORTS COO, were designated as project leaders for developing an exclusive stevedoring arrangement in fall of 2021 (“Preferred Stevedore”). CX_01282, AMPORTS 143(b)(6) Dep. Ex. 3 at 1.

31. Under the Preferred Stevedore arrangement, AMPORTS would look to receive a per car fee from the preferred stevedore for the exclusivity to operate at the AMPORTS Terminals. CX_00380-81, Buben Dep. Tr. 53:18-54:22.

32. When identifying stevedores for the Preferred Stevedore arrangement, a stevedore’s safety record was not a factor considered by AMPORTS. CX_00373-74, Buben Dep. Tr. 46:24-47:6.

33. AMPORTS had decided to not include Ports America in the competitive bidding process for the Preferred Stevedore on or about November or December 2021. CX_00370-73, Buben Dep. Tr. 43:19-46:1.

34. AMPORTS claims that it did not consider Ports America because of damage caused to AMPORTS property by Ports America. CX_00370-72, Buben Dep. Tr. 43:19-45:13.

35. Mr. Buben’s decision to exclude Ports America from consideration in the “competitive bidding” process was based in part on reviewing two videos of incidents on the Baltimore terminals (“Terminal Videos”). CX_00372, Buben Dep. Tr. 45:6-13.

36. The file names and date and time stamps of the Terminal Videos were: “Mech Shop wall 2022_05_31_3PM_12_04.avi” and “Mitchell Pier 2023_04_18_1PM_35_18.avi”.

37. The Terminal Videos depicted events occurring on May 31, 2022, and April 18, 2023. CX_00952, Beall Dep. Tr. 58:11-17.

38. Other stevedores have caused damage to AMPORTS property. CX_00372-73, Buben Dep. Tr. 45:14-46:1.

39. On March 9, 2022, AMPORTS sent out a request for quotation (“RFQ”) to multiple stevedoring providers regarding the exclusive stevedoring arrangement at the AMPORTS Terminals in Baltimore. CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7; CX_00386-87, CX_00390, Buben Dep. Tr. 59:23-60:1; 63:7-18.

40. The March 2022 RFQ was sent to [REDACTED] [REDACTED] CX_00390, Buben Dep. Tr. 63:7-18; CX_00074, AMPORTS 143(b)(6) Dep. Tr. 37:6-25.

41. The RFQ requested that interested bidders supply proposed per car rates. CX_01307, AMPORTS 143(b)(6) Dep. Ex. 8.

42. The RFQ did not request bidders to supply safety or efficiency information to AMPORTS in bid responses. CX_00390-91, Buben Dep. Tr. 63:7-64:2.

43. Ports America was not contacted by AMPORTS concerning preferred stevedoring or competitive bidding prior to the November 1, 2022 Announcement. CX_00390-91, Buben Dep. Tr. 63:7-64:2.

44. Ports America was not invited by AMPORTS to respond to the RFQ. CX_00390-91, Buben Dep. Tr. 63:7-64:2.

45. AMPORTS did not include Ports America in the competitive bidding process. CX_00371, Buben Dep. Tr. 44:7-13.

46. The primary factor AMPORTS considered in evaluating bids were the rates offered by the stevedores who bid on the RFQ. CX_00078-79, Brown/AMPORTS 143(b)(6) Dep. Tr. 41:22-42:19.

47. All stevedores that had submitted a bid to AMPORTS advised that they would honor all existing contracts at the AMPORTS Terminals until they expired. CX_00381-83, Buben Dep. Tr. 54:23-56:2.

B. Evaluation of Preferred Stevedore Bids

48. The AMPORTS Operational team in Baltimore was not contacted or consulted as part of the Preferred Stevedore selection process. CX_00841-43; CX_00850; CX_00863, Molyneaux Dep. Tr. 88:20-90:18; 97:14-24; 110:14-20.

49. AMPORTS' Baltimore terminal maintains records that include safety and damage information associated with stevedores. CX_00371-72, Buben Dep. Tr. 44:14-45:23; CX_00373-74, Buben Dep. Tr. 46:24-47:6

50. AMPORTS did not use terminal safety or damage information maintained by the terminal for the competitive bidding evaluation. CX_00371-72, Buben Dep. Tr. 44:14-45:23; CX_00373-74, Buben Dep. Tr. 46:24-47:6.

51. Stevedore's safety record was not a consideration in evaluating its bid response. CX_00151-53, AMPORTS 143(b)(6) Dep. Tr. 114:24-116:3.

52. A stevedore's efficiency record or efficiency metrics was not a consideration in evaluating its bid response. CX_00152-53, AMPORTS 143(b)(6) Dep. Tr. 115:25-116:3

53. Ports America's safety record, specifically the lost time injury frequency rate, is .64 or .69, which "means [Ports Americas safety rating is] world-class. It's probably the best in our industry." CX_01154, Schmidt Dep. Tr. 115:6-22.

54. ILA safety leadership has regular monthly Accident Review Committee safety meetings with Ports America, and that Ports America's Health and Safety Manager interacts with ILA safety leadership regularly, and interacts with ILA members on safety matters on a daily basis. CX_01240-43, Bevilacqua Dep. Tr. 39:8-42:13; CX_00978-79, Beall Dep. Tr. 84:4-85:1.

55. Ports America has regular port-wide safety meetings—"quality cargo handling assessment team" or "QCHAT" meetings with the Maryland Port Administration involving industry stakeholders, including other stevedores, cargo interests, the Coast Guard, and the ILA, at which Ports America openly shares its "very transparent safety record." CX_01093-94; CX_01096, Schmidt Dep. Tr. 54:11-55:21; 57:9-13.

56. AMPORTS consider bids and negotiating with bidders that it did not think were qualified to perform as a preferred stevedore. CX_00166-67, AMPORTS 143(b)(6) Dep. Tr. 129:23-130:16.

57. The record also establishes that Complainants clearly met the proffered standard for consideration of "stevedores in the Baltimore, MD area with adequate safety, performance, and administrative programs." CX_01506, AMPORTS 143(b)(6) Dep. Ex. 39, at 5.

58. Ceres was selected as the preferred stevedore at the AMPORTS Baltimore Terminals. CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17.

59. AMPORTS and Ceres agreed that Ceres would pay a [REDACTED] a car access fee. CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17; CX_00170-71, AMPORTS 143(b)(6) Dep. Tr. 133:17-134:6.

60. The Preferred Stevedore is not subjected to the \$25 per car access fee, while AMPORTS is purporting to assess the \$25 fee on "non-preferred stevedores" like Ports America. CX_00846-47, CX_00849, Molyneaux Dep. Tr. 93:14-94:2; 96:9-12.

61. AMORTS Terminal Manager George Molyneaux testified that he had been told that the \$25 Access Fee was “a penalty fee for not using Ceres as the preferred stevedore.” CX_00849, Molyneaux Dep. Tr. 96:18-22.

62. AMPORTS testified that some portion of the difference between the [REDACTED] preferred stevedore car access fee and \$25 Access Fee for non-preferred stevedores was based on the purported value of indemnification and insurance requirements in the preferred stevedore agreements. CX_00274-77, AMPORTS 143(b)(5) Dep. Tr. 237:10-240:14.

63. Non-preferred stevedores operating in Baltimore are subject to insurance in indemnification requirements in the AMPORTS Schedule. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33. AMPORTS Schedule, Schedule Rules 34 2(g) (Damage to Property (Other than Cargo); Rule 34 2(h)(Personal Injury); Rule 34 2(i)(Assumption of Risk); and Rule 34 10 (Damage Liability-Facilities); Rule 34 11 (Collision Liability Insurance); Rule 34 2(c)(requiring compliance with MPA regulations applicable to stevedores).

64. The AMPORTS Tariff Rule 34 2(c) requires compliance with Maryland Port Authority regulations. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33, Rule 34 2(c).

65. Maryland Port Administration, Schedule No. 23, Rule 34-007 container insurance requirements.

IV. The “Access Fee”

66. AMPORTS could not identify a total dollar figure for the cost that it stated it sought to recover via the Access Fees. CX_00280-81, AMPORTS 143(b)(6) Dep. Tr. 243:20-24.

67. AMPORTS did not calculate a total cost figure to determine the \$25 access fee. CX_00279-81, Brown/AMPORTS 143(b)(6) Dep. Tr. 242:19-244:13.

68. It is AMPORTS' position that the Access Fee was based on recover of all annual capital and operating expenses of the Baltimore terminals. CX_00450, Buben Dep. Tr. 123:10-17.; see also, CX_00277; CX_00280-81, AMPORTS 143(b)(6) Dep. Tr. 240:12-18; 243:12-244:13; CX_01502, AMPORTS 143(b)(6) Dep. Ex. 39, Interrogatory Response No. 17 (responding on how AMPORTS determined the \$25 Access Fee); Interrogatory Response No. 19 (purporting to describe the costs of services provided in connection with the Access Fee);

69. AMPORTS did not itemize the capital costs or allocate the costs to specific beneficiaries. CX_00281-82, AMPORTS 143(b)(6) Dep. Tr. 244:19-245:6.

70. It is AMPORTS' position that every commercial entity accessing the terminals benefits from all terminal operating and capital costs or benefits. Interrogatory Response No. 20 (purporting to describe the benefits of the Access Fee inuring for the benefit of all "commercial entit[ies]" that access and use the Terminal); CX_00470, Buben Dep. Tr. 143:17-21.

71. No transportation factors were considered when establishing the \$25/car access fee. CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9.

72. Communication between AMPORTS and Ceres indicates the proposed \$25/car was determined because it was determined to be punitive enough to result in Ceres taking over all business at the AMPORTS Terminals in Baltimore. CX_01355, AMPORTS 143(b)(6) Dep. Ex. 20.

73. AMPORTS does not provide any services specific to stevedoring in connection to the \$25 access fee. CX_00847-48, Molyneaux Dep. Tr. 94:24-95:16; CX_00277, AMPORTS 143(b)(6) Dep. Tr. 240:2-18.

74. The Access Fee was intended to recover virtually all of AMPORTS' annual marine terminal capital costs and operational costs. CX_00450, Buben Dep. Tr. 123:10-17.

75. AMPORTS is unable to provide the terminal capital costs and operational costs that it sought to recover through the Access Fees. CX_00280-81, AMPORTS 143(b)(6) Dep. Tr. 243:20-24.

76. AMPORTS did not allocate the purported costs to any specific beneficiaries, or stevedores, and did not know the relative benefit to stevedores vs. benefits to other entities. CX_00281-82, AMPORTS 143(b)(6) Dep. Tr. 244:19-245:1.

77. The Access Fee is more than the entire margin of Complainants' stevedoring business on a per car basis, which ranged from [REDACTED] per car. CX_01156-57, Schmidt Dep. Tr. 117:5-118:6.

78. AMPORTS did not allocate the capital expenditure benefits applicable to stevedore because everyone benefits. CX_00451-52, Buben Dep. Tr. 124:13-125:11.

79. AMPORTS determined the Access Fee rate by evaluating "market tolerance." CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9.

80. AMPORTS' market tolerance evaluation compared an estimate of the total cargo owner transportation cost per car from manufacturer to dealer. CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9.

81. AMPORTS set the access fee at \$25 based on similar charges at another terminal and the amount of fee it believed the market would bear. CX_00280-81, Brown/AMPORTS 143(b)(6) Dep. Tr. 243:25-244:6.

82. Intentionally omitted.

83. The "market tolerance" figure that AMORTS used for its determination of the Access Fee Rate was \$2,200 per car. CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9.

84. AMPORTS concluded a charge of "roughly one 1 percent of" \$2,200 "did not seem unreasonable to AMPORTS" CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9.

85. Stevedoring was just one component of that \$2,200 logistics chain estimate. CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:22-241:20.

86. The Access Fee was not considered in comparison to an amount of the supply chain cost applicable to stevedoring. CX_00278-79, AMPORTS 143(b)(6) Dep. Tr. 241:10-242:18.

87. The Access Fee determination also considered in comparison to another charge in place at another terminal,. CX_00281, AMPORTS 143(b)(6) Dep. Tr. 244:3-6.

88. AMPORTS determination of the \$25 Access Fee rate completed when “[w]e had indication of a similar charge at another terminal and we had what we thought the market would tolerate and we picked a number.” CX_00281, AMPORTS 143(b)(6) Dep. Tr. 244:3-6.

V. The AMPORTS “Announcement” and “Access Fee” Implementation

89. On November 1, 2022, AMPORTS sent a letter to various entities, including ocean carriers, announcing the Preferred Stevedore arrangement (“AMPORTS Announcement”). CX_01359, Brown/AMPORTS 143(b)(6) Dep. Ex. 22.

90. AMPORTS sent the November 1, 2022 announcement letter to carriers and OEM customers, but did not send to Complainants or any non-preferred stevedores. CX_01360, AMPORTS 143(b)(6) Dep. Ex. 23; CX_01360, AMPORTS 143(b)(6) Dep. Ex. 23; CX_00431, Buben Dep. Tr. 104:19-21.

91. On or about November 1, 2022, Ports America obtained a copy of the AMPORTS Announcement, on AMPORTS letterhead, addressed only to “Dear valued partners” and signed by AMPORTS’ Chief Operating Officer, Ben Buben. CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22.

92. The AMPORTS Announcement stated, among other things, that:

- a. AMPORTS had selected a “sole stevedoring provider” for Benicia, CA, locations and its Atlantic/Chesapeake location in Baltimore, MD;
- b. each stevedore “will have exclusive rights to perform RO/RO vessel operations at their respective locations beginning January 1st, 2023”;

- c. such stevedores “have agreed to honor existing stevedoring agreements currently in place at our locations until expiration. It may be beneficial for our customers to open dialog with both companies to explore a long-term deal”;
- d. representatives of such stevedores “will be in contact soon to discuss the change in stevedoring service at our locations and to answer any questions you may have;
- e. only the designated stevedoring companies would be “licensed to perform stevedoring services” at the AMPORTS Terminals after 12/31/2022;
- f. “[i]f a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee to enter our facility”; and
- g. all stevedoring activities performed by another stevedoring company must be “approved by AMPORTS COO 14 days before vessel activities.”

CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22.

93. On December 6, 2022 Ports America through counsel sent a letter to AMPORTS responding to the AMPORTS Announcement that put AMPORTS on notice that the Preferred Stevedore arrangement violated state and federal laws and regulations. CX_01380, Brown/AMPORTS 143(b)(6) Dep. Ex. 30.

94. Ports America’s December 6, 2022 letter also requested that AMPORTS reverse its position on licensing stevedores and assessing access fees, publicly withdraw the letter with notice to ocean carriers, and cease and desist from taking additional actions. CX_01380, Brown/AMPORTS 143(b)(6) Dep. Ex. 30.

95. Ports America’s December 6, 2022 letter also requested that AMPORTS “offer to make equivalent terms available to [Ports America] and other stevedores for consideration” and that “after providing a reasonable opportunity to consider the foregoing information, agree to meet to negotiate

concerning such agreements and terms.” Complaint ¶ 65; Answer ¶ 65 admitting; CX_01380, Brown/AMPORTS 143(b)(6) Dep. Ex. 30.

96. Various other entities also submitted responses to the AMPORTS Announcement, including the ocean carriers [REDACTED]. CX_01367, Brown/AMPORTS 143(b)(6) Dep. Ex. 26; CX_01371, Brown/AMPORTS 143(b)(6) Dep. Ex. 28.

97. Among others, the responses raised concerns as to how the access fee would be assessed and responsibility for the access fee. CX_00230-31, Brown/AMPORTS 143(b)(6) Dep. Tr. 193:24-194:5.

98. AMPORTS counsel sent a brief, one page letter to Ports America counsel on December 29, 2022, noting that it had received inquiries about the announcement, that it would be preparing a “comprehensive response” to the protest letters, and that AMPORTS would “temporarily suspend the collection of the \$25 per unit fee.” CX_02037, APS_0118.

98. It was not until Ports America received a letter from AMPORTS counsel that Ports America became aware that AMPORTS intended that the \$25/unit fee is a charge that will be assessed to any unlicensed stevedore company (not a charge payable by our carrier customers). CX_01520, Beall Dep. Ex. 14.

99. The “non-preferred stevedores” are also subjected to the purported additional approval process, with 14 days advance notice and approval from the AMPORTS COO, not applicable to the Preferred Stevedore.

100. After AMPORTS Announcement, Ports America continued to perform stevedoring services for cars delivered to and/or from the AMPORTS Terminals pursuant to Ports America’s ocean carrier agreements.

101. On March 31, 2023 AMPORTS’ counsel sent a letter to Ports America, which among other things:

- a. conceded that AMPORTS is subject to the Shipping Act as an MTO;
- b. represented that the intended purpose of the “preferred stevedore” arrangement and the alternative \$25 access fee was to “better optimize its terminal and operations, which it expects will increase the quality and efficiency of service for its vessel operating customers, while lowering costs at its terminals.”;
- c. claimed that its “preferred stevedore” arrangement and the alternative \$25 access fees were justified by three allegedly legitimate transportation factors:
 - i. reducing berthing delays allegedly caused “when multiple stevedores would be chosen for the unloading of a single vessel.”
 - ii. reduction in terminal efficiency allegedly occurring “in the presence of an array of stevedores, each with their own equipment that may require storage, and cause congestion on the terminal, along with their own unique approaches to arranging customer vehicles on the terminal, reduced the amount of available yard space”; and alleged difficulty of identifying responsibility for terminal and cargo damage “[w]hen numerous stevedores are on the terminal at the same time, operating independently within the same terminal areas.”;
- d. claimed that AMPORTS undertook a selection process to determine its preferred stevedores, disclosing two of the factors upon which the selections were allegedly based: (1) “health and safety track records” and (2) “the ability to ensure sufficient and consistent dockside labor.”;
- e. asserted that the \$25 fee would be collected from “any unlicensed stevedore company for access to AMPORTS’ facilities and it is not a charge payable by our carrier customers.” AMPORTS stated that “We appreciate that the use of the term “they” in the Announcement may have been somewhat ambiguous.”;

- f. stated that it would commence collection beginning on April 10, 2023; and
- g. finally, in connection with stating that AMPORTS would commence collection on April 10, 2023, made a cryptic statement that “[w]e are advised that PAC has accrued approximately USD \$1.2 million in fees since January 1, 2023.”

CX_01520, Beall Dep. Ex. 14.

102. The March 31, 2023 letter from AMPORTS counsel was the first mention of health and safety records as a factor allegedly considered during selection of the Preferred Stevedore.

103. As of April 12, 2023, the AMPORTS Schedule contained Rule 34 2, with a stated effective date of January 1, 2023, providing in part as follows:

(a)(2) Exclusive License for Ro/ro Unloading Services.

(i) Terminal reserves the right to enter into exclusive arrangements ofr [sic] the provision of handling services at the Terminal (“Exclusive License”).

(ii) After a competitive bidding process, Terminal has granted an Exclusive License to Ceres Terminals, Incorporated (“Service Provider”), a company incorporated under the laws of Delaware, to provide unloading services for all roll-on/roll-off (“Ro/ro”) Motor Vehicle cargo at the Terminal.

(iii) Service Provider will provide such Ro/ro unloading services pursuant to direct agreements to be entered between Service Provider and specific recipients of Ro/ro unloading services (“Customer”). If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee. All stevedoring activities not performed by Ceres must be approved by AMPORTS COO 14 days before vessel activities.

....

If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee. All stevedoring activities not performed by Ceres must be approved by AMPORTS COO 14 days before vessel activities.

CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33, Rule 34 2.

104. On April 17, 2023, AMPORTS issued three (3) invoices to Ports America, one for each month of January, February, and March 2023, all dated April 17, 2023, for the purported access fee in

connection with Ports America stevedoring of vessels at the Chesapeake Terminal, [REDACTED]

[REDACTED] CX_00014, Complaint, Attachment B. (INV14-393, INV14-394 and INV14-395)

105. Ports America and Ceres were both operating as stevedores at the AMPORTS terminals in Baltimore prior to AMPORTS introduction of the “preferred stevedoring” arrangement. CX_00117-18, Brown/AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1.

106. Ports America is both similarly situated, and in a competitive relationship, with the preferred stevedore at the AMPORTS Terminals. CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1.

107. AMPORTS’ practices and procedures relating to auto stevedoring in the Port of Baltimore that are the subject of the AMPORTS Announcement are directly related to receiving, handling, storing, or delivering property, *e.g.* stevedoring cars. CX_00001, Complaint ¶ 60.

108. The Preferred Stevedore practice, and the access fee for non-preferred stevedores, are excessive in relation to a purported cost, benefit, or service and with respect to the level of the access fee. CX_00847-48, Molyneaux Dep. Tr. 94:24-95:16.

109. AMPORTS did not provide the AMPORTS Announcement to Ports America. CX_00431, Buben Dep. Tr. 104:19-21.

110. The AMPORTS Announcement purports to collect the charge from AMPORTS’ “customers” not from “other stevedores” such as Ports America. CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22.

111. The AMPORTS Schedule, Rule 34 2, does not provide for collection of the access fee from Ports America or from an “other stevedore.” CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 at Rule 34 2.

112. In response to the AMPORTS Announcement concerning the Preferred Stevedores, on December 6, 2022, Ports America specifically asked that AMPORTS “offer to make equivalent terms

available to [Ports America] and other stevedores for consideration” and that “after providing a reasonable opportunity to consider the foregoing information, agree to meet to negotiate concerning such agreements and terms.” CX_01380, AMPORTS 143(b)(6) Dep. Ex. 30.

113. AMPORTS represented in its published tariff schedule that it selected its preferred stevedore “[a]fter a competitive bidding process.” Complaint ¶ 66; Answer ¶ 66 admitting; CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 at Rule 34 2.

114. In the March 31, 2023 letter from AMPORTS counsel to Ports America counsel, AMPORTS did not offer to include Ports America in such a process, or offer such terms to Ports America at that time, instead only offering to include Ports America “in the next round” “in the future,” despite noting that “it appears [Ports America] may be well suited.” CX_01520, Beall Dep. Ex. 14.

VI. AMPORTS MARINE TERMINAL OPERATOR SCHEDULE

115. AMPORTS is the publisher of Marine Terminal Operator schedule “APS Atlantic & Chesapeake Terminal Tariff No. 2, 019071-002 (the “AMPORTS Schedule”).

116. On May 15, 2024, AMPORTS amended Rule 34 2 of the AMPORTS Schedule, removing the previously designated preferred stevedore/exclusive licensee and \$25 non-preferred stevedore Access Fee. CX_01820, May 2024 Amendment to Schedule.

117. On May 15, 2024, AMPORTS also added a new provision to Rule 34 2 indicating that AMPORTS might implement new “Terminal Access Charges” in the future, to be “impose[d] ... on stevedoring services providers” and that it would provide 10 days’ notice of the rates of such access charges. CX_01820, May 2024 Amendment to Schedule.

118. On May 24, 2024, AMPORTS again amended Rule 34 2 of the AMPORTS Schedule, with an effective date of June 1, 2024, imposing a new “Terminal Access Charge” on all stevedoring service providers desiring to work on the terminals. CX_01928, June 2024 Amendment to Schedule.

119. The June 2024 Amendment, accessed from AMPORTS' tariff schedule publisher, Descartes, provides that: "Stevedoring service providers will be assessed an access fee of ten dollars (\$10.00) for each import or export vehicle handled by such stevedoring service provider on the Terminal." CX_01928, June 2024 Amendment to Schedule.

120. A May 24, 2024 letter announcing the upcoming change, addressed to "Dear Baltimore Port Partners," claimed the new Access Fee "will help to generate funds for improvements to terminal infrastructure, supporting the goal of making Atlantic and Chesapeake Terminals the premier destination for ro/ro cargo on the East Coast." CX_01923, Letter to Stevedores and Carriers.

121. Ports America received the May 24, 2024 letter 8 days prior to June 1, 2024 effective date; it did not identify the proposed new rate, or provide the proposed changes. CX_01923, Letter to Stevedores and Carriers.

122. "Customer" is specifically defined in 2022 AMPORTS Schedule Rule 34 2(a)(2)(iiii) as the "specific recipients of Ro/ro unloading services." CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33.

123. The \$25 Access Fee also appears in Rule 34 2(a)(2)(iii), providing an alternative option for a customer that does not use the Service Provider (the preferred stevedore): "If a customer would like to continue to use their current partnership with another stevedoring company" they can do so, but have to pay a \$25 per unit fee. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33.

124. AMPORTS admitted that its reading of the language and the word "they" as meaning another stevedore or a non-preferred stevedore, and not an ocean carrier customer may have been somewhat ambiguous. *See* Complaint ¶ 38(e); Answer ¶ 38(e)(admitting).

125. The costs it purported to recover were estimated from annual terminal expenditure levels in prior years CX_00458, Buben Dep. Tr. 131:4-19.

126. It was not based on recovery for any newly planned or budgeted capital projects or new services, nor any investments or services specifically intending to benefit stevedores. CX_00451, Buben Dep. Tr. 124:5-25.

127. It is also clear that AMPORTS charges other users of the terminal—namely ocean carriers and cargo interests—for a wide array of charges set forth in the AMPORTS Schedule. . CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33.

128. Many of the existing AMPORTS Schedule charges are expressly for, or have long been established as, charges benefiting vessels and or cargo interests, such as dockage and wharfage charges. . CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33.

129. AMPORTS testified that wharfage and dockage were significant generators of revenue, which were paid by vessels and/or OEM cargo interests and included fees for loading and unloading vehicles. CX_00086, AMPORTS 143(b)(6) Dep. Tr. 49:10-24.

130. Before the instant attempt to charge Complainants the Access Fee, AMPORTS never assessed or collected any fees or charges under its Schedule from stevedores hired by ocean carriers to load and discharge vehicle cargo at the terminals. CX_00285-86, AMPORTS 143(b)(6) Dep. Tr. 248:17-249:14

VII. INVOICING AND COLLECTION OF “ACCESS FEE”

131. The AMPORTS Announcement indicated that AMPORTS would begin to assess the access fee starting January 1, 2023. CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22.

132. An internal AMPORTS email communication dated March 31, 2023 between Steve Taylor and Ben Buben indicates that invoicing and collection of the access fee had not commenced on January 1, 2023. CX_01491, AMPORTS 143(b)(6) Dep. Ex. 34.

133. The March 31, 2023 email provides that collection of the access fee had been delayed and would now go into effect on April 10, 2023. CX_01491, AMPORTS 143(b)(6) Dep. Ex. 34.

134. AMPORTS intended to submit invoices for the access fee on April 10, 2023 but the invoices were for charges beginning in January 1, 2023.

135. The March 31, 2023 email also states: “The plan is to invoice these charges after we restart on the 10th. We will not accrue the [REDACTED] as we are not 100 percent sure we can get them to pay, but we will invoice them and see what happens.” CX_01491, AMPORTS 143(b)(6) Dep. Ex. 34.

136. AMPORTS did not issue any invoices for Access Fees until after collection commenced on April 10, 2023. CX_00996-97, Beall Dep. Tr. 102:13-103:7.

137. After April 10, 2023, AMPORTS invoiced Ports America for approximately [REDACTED] [REDACTED] in fees accrued since January 1, 2023, despite the Access Fee being suspended until April 10, 2023.

138. Upon receiving invoices covering purported charges for the period of January to April 2023, while the Access Fee was suspended, Ports America expressly rejected them. CX_00999-1000, 105:15-106:5; CX_01519, Beall Dep. Ex. 12.

VIII. Ports America’s Lost Business and Monetary Damages

139. During the relevant time period, the only stevedores loading or unloading automobile cargo at AMPORTS’ terminals were Ceres, PAC, and MTCE. CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1.

140. AMPORTS was aware that the “non-preferred stevedores” had long term agreements and business relationships with ocean carriers for vehicle stevedoring at AMPORTS’ terminals in Baltimore. CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11.

141. AMPORTS and the preferred stevedore had an understanding that the preferred stevedore would honor existing rates that PAC and MTCE had with their ocean carrier customers if the carriers switched their business from Complainants’ to Ceres. CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11.

142. AMPORTS asserted that it was offering value to the preferred stevedore because “[w]e will be handing a book of business to the new partner.” included the non-preferred stevedore’s current business CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7.

143. Those agreement include those with ocean carriers such as [REDACTED]
[REDACTED]. CX_01157; CX_01158, Schmidt Dep. 118:7-13; 119:10-18

144. AMPORTS knew that its preferred stevedore program, in connection with the punitive Access Fee, would likely result in Ports America losing business. CX_00486-88, Buben Dep. Tr. 159:20-161:13; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7.

145. AMPORTS also knew that many of Ports America’s ocean carrier customers (and Ports America itself), strongly objected to the preferred stevedore and Access Fees, including the impact on contract rights and obligations, their right to chose their own stevedore, and their costs. See CX_01367, CX_01371, AMPORTS 143(b)(6) Dep. Exs. 26, 28; CX_02031, APS_0112

146. Ultimately, Grimaldi determined it could not risk the potential liability from the \$25 per unit Access Fee, saying that “we have no options left than working... with the stevedores [Ceres] imposed by AMPORTS.” CX_01573, Schmidt Dep. Ex. 19; CX_01114-15, Schmidt Dep. Tr. 75:18-76:19; CX_01117-19, Schmidt Dep. Tr. 78:14-80:10, CX_01124-26, 85:3-87:7.

147. Ports America has lost business from Grimaldi, Hoegh Lines, and Wallenius Wilhelmson. CX_01158, Schmidt Dep. Tr. 119:10-18.

148. [REDACTED]
[REDACTED]
[REDACTED]

149. Ports America’s damages calculations are detailed, separately account for PAC and MTCE losses, the volumes are reported separately by vessel line and/or service, and the rates are

actual agreement rates, which vary by carrier and services. CX_02040, PA_0002232; CX_02041, PA_0002233; CX_02043, PA_0002235.

Respectfully Submitted,

Dated: June 7, 2024

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Dated: June 7, 2024

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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